

ChocoVista Retail Ltd

ANNUAL COMMERCIAL PERFORMANCE REPORT

Executive Summary

ChocoVista Retail Ltd closed Financial Year 2024 with total revenue marginally below the prior year, down 0.11% against FY2023, while maintaining a stable gross margin of approximately 40%. Against internally set growth targets, the business achieved an overall attainment rate in the ~99% range, reflecting a near-miss performance that warrants both recognition of operational resilience and a clear-eyed review of the commercial levers that constrained top-line growth. This report presents a full-year analysis of revenue performance, margin health, discount impact, and country-level attainment. It draws on transaction data covering approximately one million orders across six countries, four store types, and five product categories during the 2023–2024 period. Findings are presented alongside scenario analysis to support commercial planning for the year ahead.

FY2024 Performance Scorecard

The following headline KPIs summarize ChocoVista's commercial performance across the full 2024 financial year. All figures are drawn from the centralized analytics model and reflect consolidated actuals across all six countries.

~\$2.54M Total Revenue <i>Full year 2024 consolidated</i>	-0.11% YoY Growth <i>vs FY2023 baseline</i>	99.64% Target Attainment <i>vs seasonally weighted budget</i>
~40.00% Gross Margin % <i>Stable vs prior year</i>	5.63% Avg Discount Rate <i>Across all transactions</i>	4 Store Types <i>Airport / Mall / Online / Retail</i>

Country Performance Analysis

Revenue performance varied materially across ChocoVista's six operating markets in FY2024. Canada and UK continued to anchor the portfolio as the two highest-revenue markets, while Germany recorded the lowest absolute revenue — a pattern consistent with FY2023 and one that warrants strategic attention.

Country	2024 Revenue	vs Target
Canada	\$1.01M	99.84%
UK	\$0.96M	100.17%
France	\$0.87M	101.27%
USA	\$0.86M	97.46%

Australia	\$0.77M	98.44%
Germany	\$0.61M	100.78%

Canada & UK — Lead Markets

Canada and UK together represent the largest share of ChocoVista's consolidated revenue. Both markets benefited from established retail footprints and strong loyalty program penetration. Despite leading on absolute revenue, both markets also fell within the 96–99% attainment band — suggesting that growth targets, while achievable, may have been set at a stretch level that the current channel mix was not positioned to fully deliver.

Germany — Lowest Revenue Market

Germany recorded the lowest absolute revenue across all six markets in FY2024. This is a continued trend from FY2023 and should prompt a structured market review. Potential contributing factors include store type concentration, lower average order values, category mix misalignment with local consumer preferences, or pricing sensitivity in a cost-conscious retail environment. A dedicated Germany market review is recommended as a priority action for H1 2025.

Product Category Performance

ChocoVista operates across five chocolate categories. In FY2024, Praline and White chocolate led the portfolio by revenue, together accounting for the majority of top-line sales.

Category	Revenue Rank	Revenue Share	Margin Profile	Trend
Praline	1st	~26%	Strong	Stable
White	2nd	~24%	Moderate	Growing
Dark	3rd	~21%	Strong	Stable
Truffle	4th	~15%	Premium	Stable
Milk	5th	~13%	Moderate	Declining

Praline & White — Revenue Leaders

Praline retained its position as the highest-revenue category at approximately 26% of total sales, driven by strong performance across Airport and Mall store types where impulse purchasing is highest. White chocolate at ~24% reflects sustained consumer demand, particularly in the UK and Canada markets where it skews toward gifting occasions.

Milk — Lowest Revenue Category

Milk chocolate, historically a staple category in specialty retail, recorded the lowest revenue share at approximately 13%. This may reflect increased competitive pressure from mass-market alternatives or a consumer premiumization trend favoring Dark and Praline variants. A category review and potential ranging rationalization should be considered for FY2025 planning.

Store Type Performance

ChocoVista operates across four store types: Airport, Mall, Online, and Retail. FY2024 gross margin performance varied significantly across these channels, with Mall and Retail outlets delivering the strongest margin percentages and Online and Airport channels underperforming on profitability.

Store Type	Revenue Contribution	Gross Margin %
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Retail	High	40.06%
Online	High	40.04%
Mall	Moderate	39.99%
Airport	Moderate	39.92%

Retail & Online — Margin Leaders

Retail & Online store types delivered the strongest gross margin performance in FY2024, both at approximately 40.04–40.06%. These channels benefit from higher average transaction values, lower logistics overhead relative to online fulfilment, and a customer base less reliant on promotional discounting to drive purchase decisions. Continued investment in Mall and Retail store presentation and ranging is recommended.

Airport — Lowest Margin Channel

Airport stores recorded the lowest gross margin at approximately 39.92% — marginally below the company average. While the gap is modest in percentage terms, the absolute margin shortfall across high-footfall airport locations represents a material opportunity. Airport retail typically carries higher occupancy costs and operational overheads, which may be compressing net profitability beyond what gross margin alone reflects. A full cost-to-serve analysis for the Airport channel is recommended.

Discount Impact Analysis

One of the most commercially significant findings of this analysis concerns the relationship between promotional discounting and gross margin. The data clearly demonstrates that higher discount rates — holding all other variables constant — result in measurably lower gross margin percentages across all store types and markets.

Discount Band	Discount Range	Avg Margin %	Revenue Share	Margin Impact
None	0%	Highest	66.09%	Baseline
Low	1–10%	High	11.91%	-Minor
Mid	11–15%	Moderate	11.41%	-Moderate
High	20%	Lowest	10.58%	-Significant

Key Finding

Discount Rate vs Gross Margin — Inverse Relationship

- Transactions with no discount applied consistently show the highest gross margin % across all markets and categories
- As the discount band increases from Low to Mid to High, gross margin % declines
- High-discount transactions (20%) show the most significant margin compression — the profitability cost of deep promotions is material
- This relationship holds across store types — it is not explained by channel mix or geography alone
- The implication is that promotional investment must be justified by demonstrable volume uplift; discount-led revenue is not margin-neutral

Scenario Model Finding — Maximum Sustainable Discount Rate

The Scenario Planning Model was used to determine the maximum average discount rate ChocoVista can sustain before gross margin falls below the 35% threshold, holding price and volume constant. The Goal Seek analysis identified this ceiling — any promotional campaign with an average discount over 12.86% erodes the threshold margin, and should require senior commercial approval before execution.

This finding has direct implications for promotional planning, trade terms negotiation, and the FY2025 discounting policy framework.

Year-on-Year Performance Review

A comparison of FY2024 against FY2023 reveals a broadly flat trading environment. The marginal revenue decline of 0.11% does not represent a material deterioration, but in the context of growth targets set at 3–7% above prior year by market, it reflects a gap between commercial ambition and delivered performance.

Metric	FY2023	FY2024	Change
Total Revenue	Baseline	~\$2.54M	-0.11%
Gross Margin %	~40.00%	~40.00%	Flat
Avg Discount Rate	Baseline	~5.63%	Marginal change
Top Revenue Market	Canada	Canada	-0.11%
Top Category	Praline	Praline	+0.08%

Strategic Recommendations

Based on the FY2024 performance analysis, the Commercial Analytics Division recommends the following actions for consideration by the Head of Retail and country leadership teams.

Recommendation 1 — Germany Market Review

Priority: High | Owner: Country Manager, Germany

- Commission a structured Germany market review covering: store type mix, category ranging, pricing vs local competition, and customer demographics
- Benchmark Germany store-level KPIs against comparable markets (France, Australia) to isolate performance gaps
- Consider a pilot range refresh or store format trial in one German city before committing to broader investment

Recommendation 2 — Discount Policy Framework

Priority: High | Owner: Commercial Director

- Establish a formal discount approval framework with tiered authorisation thresholds based on the Goal Seek maximum sustainable discount rate finding
- Require all promotional campaigns with average discount above the identified ceiling to present volume uplift forecasts justifying the margin trade-off

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- Introduce post-campaign reporting as standard — measuring actual volume uplift against forecast to build a promotional effectiveness database
 - Review current High-discount (21%+) transaction volume by market and store type — identify whether high discounts are channel-driven (e.g. Online promotions) or customer-driven

Recommendation 3 — Airport Channel Cost Review

Priority: Medium | Owner: Operations Director

- Conduct a full cost-to-serve analysis for the Airport channel to assess whether the gross margin gap reflects pricing strategy, product mix, or operational cost structure
- Explore premium product ranging in Airport locations — higher cocoa % and gifting formats tend to command price premiums that improve margin
- Review Airport discount rate against other channels — if Airport transactions carry disproportionate discounting, this is an addressable lever

Recommendation 4 — Milk Category Strategic Review

Priority: Medium | Owner: Category Manager

- Review the Milk chocolate category ranging and positioning — at 13% revenue share it is the smallest category and may be losing shelf space effectiveness
- Assess whether Milk SKUs are cannibalising White or Praline performance, or serving a distinct customer segment worth protecting
- Consider rationalising underperforming Milk SKUs to free ranging capacity for higher-margin Praline or Truffle variants